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Arab Open University

Faculty of Business Studies

B326

Advanced Financial Accounting

Final Examination - VB

Summer Semester 2025-2026

3 – September – 2026

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umber of Exam Pages: 4 ıcluding this cover sheet)	Time Allowed: 3 hours

ıstructions:

ake FIVE (5) minutes to read all instructions carefully before attempting to write.
obile phones must be in "SWITCHED OFF" mode throughout the examination.
ıis is a CLOSED book examination. NO documents of any kind are allowed.
ıu MUST answer the questions using only the answer booklets provided
u MUST return the examination paper together with your answer booklets.
NOT write your answers in pencil except graphs/sketches
dents are NOT allowed to use any type of dictionary or mobile phones during the exami
dents are allowed to use *non-programmable* calculators only (if needed).
form of cheating will NOT be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (38 marks)

A- On January 1, 2023, Parts Corporation acquired 80% interest in Stars Corporation.

Further information:

1. During 2023, Stars' sales to Parts were $22,000 and cost of sales was $20,000. Parts managed to sell 50% of this merchandise (the other half was sold in 2024).

2. During 2024, Stars' sales to Parts were $30,000 and cost of sales was $25,000. Parts managed to sell 40% of this merchandise.

3. Stars' dividends in 2024 were $10,000.

Presented below are several figures reported for Parts Corporation and Stars as of December 31, 2024.

	Parts	Stars
Inventory	$50,000	$22,500
Sales	300,000	70,000
Cost of Goods Sold	130,000	22,000
Expenses	140,000	18,000

Required:

Calculate income from subsidiary for both parent and NCI, then prepare the elimination entries required for consolidation on December 31, 2024. (28 marks)

B- Define the following:

Fixed exchange rates - Floating exchange rates - Spot rate - Current rate - Historical rate. (10 marks)

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Question 2 (30 marks)

A- Sal is a 80% owned subsidairy of Pal corporation, acquired at book value several years ago. Compartive separate compay income statements for 2022 is shown below:

	Pal	Sal
Sales	300,000	140,000
Income from Sal	???	-
Gain on Sale of Building	???	-
Cost of goods sold	200,000	80,000
Operating expenses	60,000	40,000

On January 1, 2022 Pal sold a building with a 5 year remaining useful life to Sal for $26,000 cash. Cost of the building was $30,000 and its accumulated depreciation $10,000. At December 31, 2022, Sal's accounts payable includes $2,000 owed to Pal.

Required:

Calculate the gain on sale of the building, the income from subsidiary, and prepare the required elimination entries for the year ended December 31, 2022. *Show your computations.* (18 marks)

B- On October 1, 2020, Prince Corporation, a UK company sold inventory to Quick Corporation, a US company, for 7,500 pounds and Quick will pay in dollars on March 1, 2021. The spot rates for the U.S dollar on October 1, 2020, December 31, 2020, and March 1, 2021, are 0.625 pound, 0.6095 pound, and 0.624 pound, respectively.

Required:

Record these transactions in the accounting records of Quick Corporation and Prince Corporation. If no entry is required on a particular date, indicate "No entry" in the General Journal (12 marks)

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Question 3 (32 marks)

A- The following transactions occurred between the home office and the Najma Branch of Smaldino Company:

1. Payments for operating expenses by Najma Branch totaled $5,000.
2. Merchandise with a home office cost of $40,000 was shipped by the home office to Najma Branch.
3. Cash of $5,000 was forwarded by the home office to Najma Branch.
4. Equipment was acquired by Najma Branch for $500, to be carried in the home office accounting records.
5. Credit sales by Najma Branch amounted to $80,000; the branch's cost of the merchandise sold was $45,000.
6. Collections of trade accounts receivable by Najma Branch amounted to $51,000.

Required:

Prepare journal entries for these transactions in the accounting records of the Home office and the Najma Branch. (13 marks)

B- Room Textile Company has a single branch in Boston. On March 1, 2022, the home office accounting records included an allowance for overvaluation of inventories: Boston branch ledger account with a credit balance of $32,000. During March, merchandise costing $36,000 was shipped to the Boston branch and billed at a price representing a 25% markup on the billed price. On March 31, 2022, the branch prepared an income statement indicating a net income of $7,250 for March and ending inventories at billed price of $25,000.

(19 marks)

Required:

1. Prepare a working paper to analyze the flow of merchandise to Boston Branch during March 2022, assuming a uniform markup on all shipments to the branch, and compute realized gross profit.
2. Prepare journal entries for the home office of Room Textile Company on March 2022, based on the information provided above.

[End of Questions]

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